

APPENDIX 5: FTAA FACT SHEET

Free Trade Area of the Americas (FTAA)

WHEN:

According to its official website, the FTAA negotiations began at the Summit of the Americas in 1994, wherein representatives from 34 democracies of the Western Hemisphere agreed to gradually eliminate barriers to trade and investment. The leaders agreed that the FTAA negotiation process would be complete by 2005, and that at that time the accord's provisions would gradually be implemented.

WHAT:

Based on the North American Free Trade Agreement (NAFTA) model, the FTAA will create a hemispheric trading bloc, including all countries in North America and South America, with the exception of Cuba. The tentative accord, which will come into effect in 2005, could possibly be the most far-reaching trade agreement in history. Although it is based on NAFTA, the FTAA will go far beyond its scope and power

WHY:

According to the Miami Summit of the Americas *Plan of Action*, set forth in 1994, the implementation of the FTAA will achieve several overarching goals: the preservation of democracies in the Western Hemisphere; the promotion of prosperity through economic integration; the eradication of poverty and discrimination in the Americas; and the promotion of sustainable development.

How:

FTAA will introduce all the disciplines of the proposed service agreement of the World Trade Organizations (WTO) -- the General Agreement on Trade and Services (GATS) -- with the powers of the Multilateral Agreement on Investment (MAI). The former component is mandated to liberalize the global trade in services, and gradually eliminate all government barriers to trade to accommodate international competition. The investment component will provide corporate entities with protection to pursue trade interests through legally binding trade tribunals.

WEBSITE:

<http://www.ftaa-alca.org>, <http://www.oas.org>

OK, BUT:

A number of contentious issues have arisen, following the development of FTAA guidelines, such as its impact on worker's rights, health, and the environment. Many environmentalists and civil society groups believe that the FTAA model encourages a "race to the bottom," meaning that the country with the lowest wages and the weakest environmental protection standards will attract the most investment. Moreover, the proposed agreement's investment clause will allow private corporations to sue foreign governments for compensation if their investments have been harmed due to government regulations and safeguards. Similarly, many that oppose the FTAA claim that the accord will provide unequalled power to transnational corporations of the hemisphere to compete for and even challenge government-funded services, including health care, education, social security, culture and environmental protection. In essence, this shift in service providers may potentially remove the state's ability to adequately protect the health and safety of its citizens. Furthermore, many of the negotiations regarding the trade agreement have taken place in secrecy, and numerous civil society and special interest groups have been excluded from past FTAA deliberations.

REFERENCES:

FTAA Official Website: Overview of FTAA Process www.ftaa-alca.org/View_e.asp

www.ilwu19.com/history/wto/ftaa/facts.htm; *University of Ottawa Anti-FTAA Organizing Committee*
www.uottawa.ca/gsaed/anti-ftaa/facts.html; *Environmental Media Services: FTAA Fast Facts*
www.ems.org/ftaa/facts.html